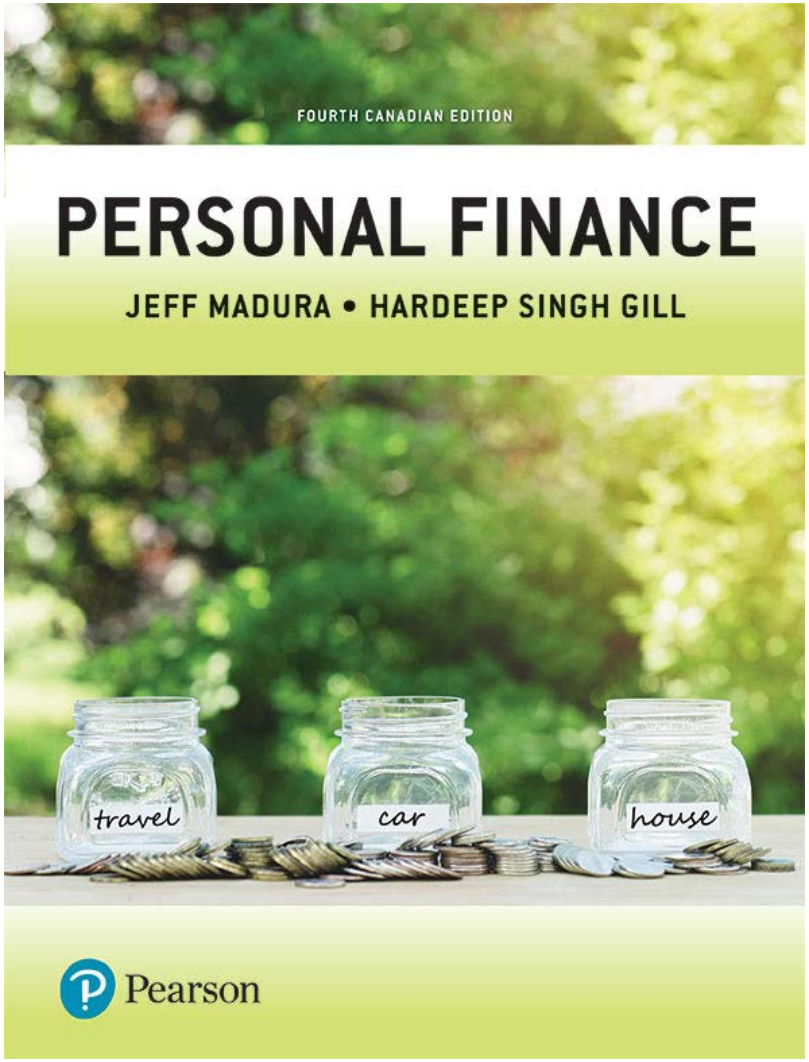
Personal Finance

Fourth Canadian Edition



PART 1

Chapter 6

Assessing, Managing, and Securing Your Credit

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Background on Credit

- Credit: funds provided by a creditor to a borrower that the borrower will repay with interest or fees in the future
  - Repayment of credit is segmented into principal repayments and interest

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Types of Credit

- Instalment Loan: a loan provided for specific purchases, with interest charged on the amount borrowed and repaid on a regular basis
- Revolving Open-End Credit: credit provided up to a specified maximum amount based on income, debt level, and credit history; interest is charged each month on the outstanding balance, minimum amount due each month, entire amount can be repaid at anytime

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Advantages of Using Credit

- Helps establish a good credit history
- Helps build a good credit score
- Helps create the capacity to access credit in the future for large purchases (e.g. home)
- Eliminates the need for carrying cash
- Useful in situations where cash may not be an option (e.g. internet purchases)
- Many credit cards offer additional benefits (e.g. air miles)
- A record of past transaction is maintained by the credit card company

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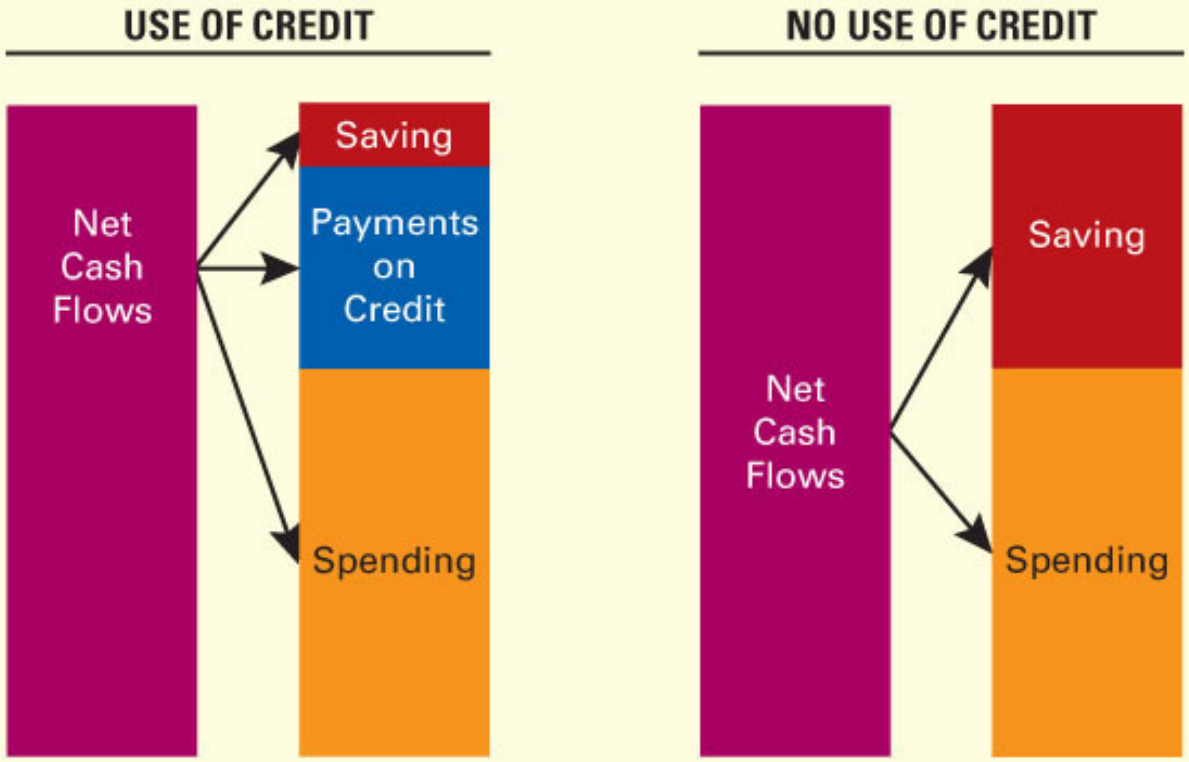
Disadvantages of Using Credit

- Difficulty making payments
- Temptation to make impulse purchases
- You can damage your credit rating if you do not make the minimum required repayment
- Large credit payments hinders ability to save
- May need to withdraw from savings to cover net cash flow deficiencies

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Impact of Credit Payments on Savings

EXHIBIT 6.1 Impact of Credit Payments on Savings



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Credit History

- Represents your history with credit instruments such as credit cards, retail credit cards, lines of credit, and personal loans and leases
- A favourable credit history is established by paying bills in a timely manner

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The Credit Application Process

- Involves filling out the application, negotiating the interest rate, and negotiating the loan contract
- Application Process
  - Personal balance sheet
  - Personal cash flow statement
  - Proof of income
- Credit Check

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Credit Insurance

- Represents a commitment by some consumers to cover credit cards repayments under various circumstances (e.g. accident and sickness, unemployment)
- The payment period is limited to a short term (e.g. three months)

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Credit Bureaus

- Credit Reports: reports provided by credit bureaus that document a person's credit payment history
- Primary credit bureaus are Equifax Canada and TransUnion Canada

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Credit Reports Information

- Your personal information
- A consumer statement
- A summary of your accounts
- Your account history
- Bank info re accounts closed for derogatory reasons
- Public info re bankruptcies, judgments, secure loans
- The names of creditors who have made account inquiries
- A list of creditor contacts

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Focus on Ethics: Guarding Your Financial Information

- You must give written permission to allow firms to access your credit report.
- Financial institutions must provide customers with privacy policies that detail what information they collect and intend to share

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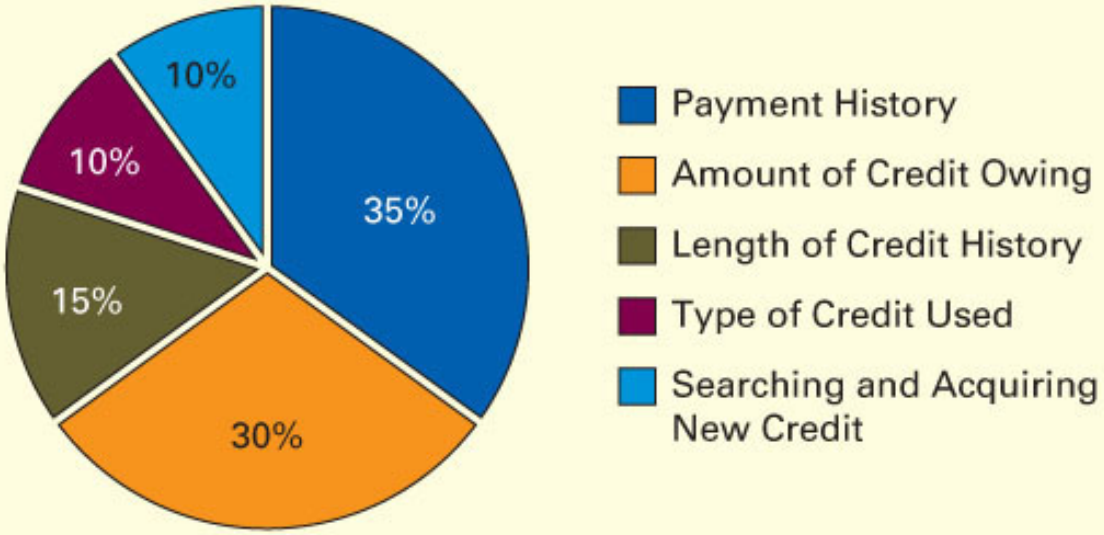
Credit Score

- A rating that indicates a person's creditworthiness
- Creditors rely on this score to help determine whether or not to extend a loan
- Can affect the interest rate quoted on the loan you request
- Score affected by many factors
  - Payment history, credit utilization, length of relationship with creditors, types of credit established, recent credit inquiries

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Credit Score Criteria

EXHIBIT 6.3 Credit Score Criteria



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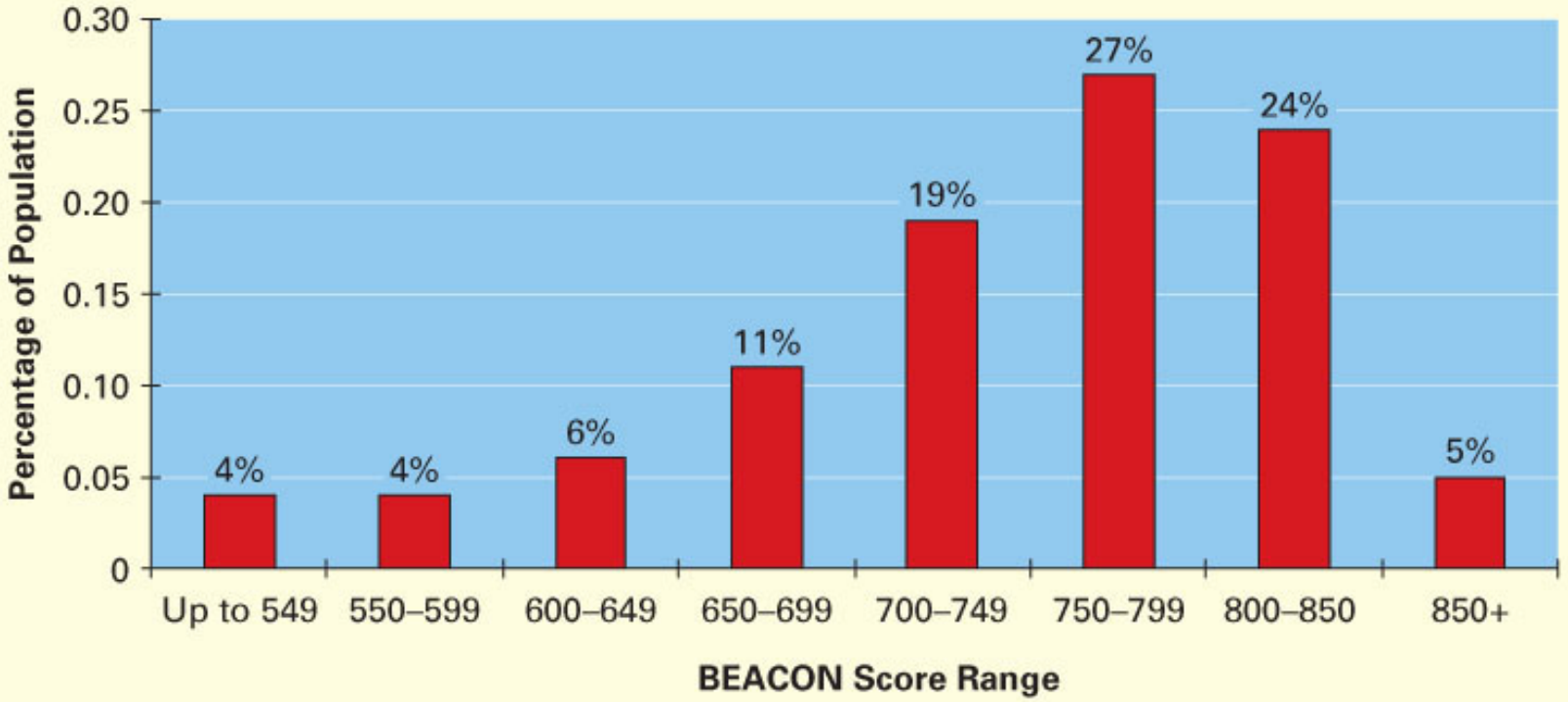
Credit Bureau Info

- Differing Scores among Bureaus
  - Bureaus don’t always have access to the same information
- Interpreting Credit Scores
  - Range from 300 to 900, with 600 or higher being considered a good score (very good is 750+)
  - Each financial institution sets its own criteria to determine whether to extend credit
  - Acceptable credit score may vary with the type of credit

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Credit Score Distribution

EXHIBIT 6.4 National Distribution of BEACON Scores



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Credit Scores

- A low credit score is normally due to either missed payments or carrying an excessive amount of debt
- Poor credit history remains on your report for three to ten years
- Bankruptcy remains on your report for six to seven years
- Improve your credit score immediately by catching up on late payments, making at least the minimum payments on time and reducing your debt

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Reviewing Your Credit Report

- Review your credit report from each of the credit bureaus at least once a year
- Beneficial for three reasons:
  - Ensure that the report is accurate
  - Identify the types of information that lenders or credit card companies may consider when deciding whether to provide credit
  - Identify and eliminate any deficiencies

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Credit Cards

1. Establish a good credit history (the easiest way!)
2. Create credit capacity
3. Eliminate the need for carrying cash
4. Provide a method for payment when cash is not an option
5. Earn additional benefits
6. Receive free financing until the due date on your credit card statement
7. Keep track of your spending by providing you with a consolidated list of the purchases you made

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Credit Card Features

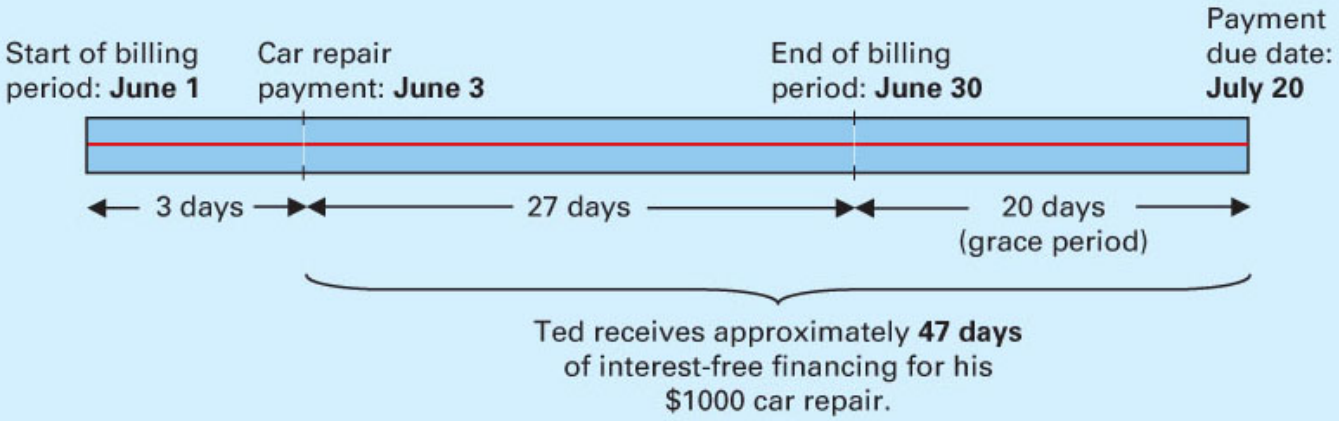
- Credit Limit- specifies the maximum amount of credit allowed
- Overdraft Protection- allows purchases beyond stated credit limit, for a fee
- Annual Fee
- Incentives to Use the Card (e.g., points)
- Grace Period- period between time of purchase and when payment is due (usually about 20 days)

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Credit Card Example One

EXAMPLE

On June 3, Ted Jones paid a car repair bill of $1000 with his credit card. The billing period for Ted's credit card starts on the first of every month and ends with the last day of every month. For the month of June, the closing date for Ted's billing statement is June 30. The grace period Ted receives from the credit card company is 20 days. Therefore, his bill is due on July 20. As shown in the timeline below, Ted receives about 47 days of free credit.



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Cash Advances/Convenience Cheques

- Usually charge high interest plus a transaction fee at the time of the transaction (i.e. no grace period)
- Extremely costly source of financing and should be used only as a last resort

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Credit Card Financing (1 of 2)

- Paying only a portion of the credit card bill monthly
- Expensive and should be avoided if possible
- Interest rate between 20 and 30 percent
- Rate may be variable, fixed, tiered, or may be a teaser rate
- Finance Charge: the interest and fees you must pay as a result of using credit

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Credit Card Financing (2 of 2)

- Previous Balance Method (least favourable)
  - Interest is charged on the balance at the beginning of the new billing period
- Average Daily Balance Method (most frequent)
  - Interest is charged on average daily balance at the end of every day in the billing period
  - Your finance charges will be lower under this method if you pay part of the outstanding balance during the billing period
- Adjusted Balance Method (most favourable)
  - Interest is charged based on the balance at the end of the new billing period

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Credit Card Payments

- Minimum Monthly Payments
  - You should always strive to pay off your entire credit card balance in full each month
- Credit Card Statement
  - Details why your new balance differs from the balance shown on your statement for the previous month
    - Results from any new purchases, cash advances or finance charges, and payments

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PART 2

Home Equity Line of Credit (HELOC)

- a loan in which a home serves as collateral, allowing homeowners to borrow up to a specific credit limit (80% or more), against the equity in their homes
- pay monthly interest only and pay the principal at a specified maturity date (or at any earlier date)
- can use the funds for any purpose
- default can lead to losing your home
- can be considered a second mortgage (secured but subordinate or secondary to another loan)
- Shop around for the best rate and terms

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HELOC Interest Rate

- Typically variable
- Usually tied to a specified interest rate index that changes periodically
- Prime rate: the interest rate a bank charges its best customers
- Interest-only payments and variable interest rates may create problems for the borrower
- Always have a plan for repayment

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Personal Loans

- Most common financing from a financial institution, usually obtained to finance a large purchase
- Different from access to credit in that it is normally used to finance one large purchase and has a specific repayment schedule
- Sources of Loans
  - Chartered banks, finance companies, credit unions, some automobile manufacturers, friends or family members

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Loan Contract and Terms

- a contract that specifies the terms of a loan as agreed to by the borrower and the lender
  - Amount of the Loan (principal amount)
  - Interest Rate (nominal interest rate of the loan)
  - Loan Repayment Schedule
    - Amortize: to repay the principal of a loan through a series of equal payments and each includes part of the principal and part of the interest
  - Maturity or Term: the life or duration of the loan
    - Longer maturity equals lower payments, but more interest is paid over the life of the loan
    - Consider paying off a loan early with extra funds

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Loan Terms (1 of 2)

- Security
  - May include a promise to repay or collateral
- Collateral: assets of a borrower that back a loan in the event that the borrower defaults
- Secured loan: a loan that is backed or secured by collateral
- Unsecured loan: a loan that is not backed by collateral
- You will receive more favourable terms on a secured loan

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Effect of Loan Maturity on Total Interest Paid

Exhibit 6.5 Effect of Loan Maturity on Total Interest Paid

	Loan Amount	APR (compounded monthly)	Monthly Payment	Total Interest	Total Repaid
Four-Year Loan	$16 000	4.9%	$367.74	$1651.73	$17 651.73
Five-Year Loan	$16 000	4.9%	$301.21	$2072.44	$18 072.44
		Difference	**$66.53**	**$420.71**	

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Loan Terms (2 of 2)

- Co-signing is sometimes required if credit history is weak
  - Can have significant financial implications for the co-signer
  - Never feel pressured or obligated to co-sign a loan
- Payday loan: a short-term loan provided to you if you need funds in advance of receiving your paycheque
  - Maximum interest rate that can be charged on a consumer loan is 60 percent per annum

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Purchase versus Lease Decision

- popular alternative to buying a car
- Advantages of leasing
  - do not need a substantial down payment
  - return the car at the end, no buyer required
  - lower monthly car payment
- Disadvantages of leasing
  - no equity investment (you do not own the car)
  - responsible for maintenance and damage
  - usually a kilometre limit for leased vehicle, other fees

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Debt Management

- Improve your credit score immediately by:
  - Catching up on late payments
  - Making at least the minimum payments on time
  - Reducing your debt

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Debt Management: Review Your Personal Financial Statements

- Analyze your budget, personal balance sheet, and personal cash flow statements
- Budget- establish a self-imposed credit limit
- Balance Sheet- identify any financial assets that can be used to pay down your debts immediately
- Cash Flow- determine where you need to cut back on expenses in order to increase your net cash flow

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Consumer Proposal

- last resort before declaring bankruptcy
- Consumer proposal: an offer made by a debtor to his or her creditors to modify his or her payments
  - Creditors have up to 45 days to object
  - Proposal can be made in cases where individual debt is less than $250 000, not including your home mortgage
- removed from your credit bureau report once the consumer proposal terms have been met

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Bankruptcy (1 of 2)

- Individuals can file for personal bankruptcy when they become insolvent (owes at least $1,000 and is unable to pay his or her debts as they come due)
- Property is given to a Licensed Insolvency Trustee; a person licensed to administer consumer proposals and bankruptcies and manage assets held in trust

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Bankruptcy (2 of 2)

- Unsecured creditors will not be able to take legal steps to recover their debts from you
- Trustee in bankruptcy will sell your assets and distribute the money obtained to your creditors on a pro rata basis
- Certain assets are exempt from bankruptcy
- Spouse or common-law partner is not affected by your personal bankruptcy if not responsible for your debt
- Bankruptcy is a last option for overwhelming debt

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